Budgets

Background

- You learnt that management control is needed if organisations are to achieve their objectives. Once the objectives of an organisation have been agreed, plans need to be drawn up so that the objectives can be met.
- Don’t assume that plans can only be expressed in monetary terms and values. For example, quality of the product might be best shown in engineering terms, or social objectives shown in a plan concerned with employee welfare. But some of the objectives, such as the attainment of a desired profit, or of the attainment of a desired growth in assets, can be expressed and measured in monetary terms and values.
- When a plan is expressed quantitatively (i.e. in numbers – monetary amounts or quantities) it is known as a budget and the process of converting plans into budgets is known as **‘***budgeting***’.**

Difference between Forecast and Budgets

- A business forecast is an estimate if the likely position of a business in the future based in past or present condition
- For Example Cindy sales over past five years have been $100000, 105000, 110250,115750 and 121500. The sales have been increasing at the rate of 5% each year
- A budget is a statement of planned future results which are expected to follow from actions taken by management to change the present circumstances.
- The budgeting process may be very formal, as it typically is in most large organisations. Sometimes it may be so formal a process that committees are set up to co-ordinate and review the task.

Budgets and people

- **In no other part of accounting is there a greater need for understanding people than in the processes of budgeting.** Budgets are prepared in order to try to guide the organisation towards its objectives.
- Yet, there is no doubt that some budgets are even more harmful to the organisation than if none were drawn up at all. The main cause of such a mismatch between a budget and the organization is a failure to consider the human side of budgeting.

Budgets and people

- Budgets are drawn up for control purposes, that is, they represent an attempt to control the direction in which the organisation is moving. Many people, however, look upon budgets, not as a guide, but as a straitjacket. Let’s look at a few undesirable actions that can result from peoplemregarding budgets as a straitjacket rather than as a guide.

- A sales manager refuses to let a salesman go to Sweden in response to an urgent and unexpected request from a Swedish firm. The reason: the overseas sales expenses budget has already been spent. The result: the most profitable order that the company would have received for many years is lost to a competitor.
- The factory manager turns down requests for overtime work on a job because the budgeted overtime has already been exceeded. The result: the job is not completed on time and the company has to pay a large sum under a penalty clause in the contract.
- Towards the end of the accounting period, a manager realises that she has not spent all of he budget for a particular item. She is worried that failing to do so will result in a cut in her budget for the next accounting period. As a result, she launches on a spending spree, buying many completely unnecessary items. The result: a lot of unusable and unnecessary equipment.

Budgets and people

- Research studies have shown that the more that managers are brought into the budgeting process, then the more successful budgetary control is likely to be. A manager on whom a budget is imposed is likely to pay less attention to the budget and use it less wisely in the control process compared to a manager who had an active part in the drafting of his budget.

Budgets, planning and control

- When budgets are being prepared, two principal objectives must be uppermost in the mind oftop management. Budgets exist in order to implement:

Planning. This means a properly co-ordinated and comprehensive plan *for the whole business.* Each part *must* interlock with the other parts.

Control. Just because a plan is set down on paper does not guarantee that the plan will be followedautomatically and that there will be no deviations from it. Control is needed to ensurea plan is followed and control is exercised via the budgets, thus the term ‘budgetary control’.

- To achieve real control, the responsibility of managers and budgets must be so linked thatthe manager responsible for a certain part of the plan is given a guide to help her produce thedesired results and, also, that the actual results achieved are then compared against the expectedresults, i.e. actual compared with budget.

Budgets, planning and control

- Managers are responsible for planning and controlling a business of its owners and budgets are essential tools for planning and controlling.
- Budgets are planned for next five, ten or more years ahead. These plans are often known as Rolling budgets because, as each year passes, it is deleted from the budget and another year is added.
- Top Down Budgets are prepared by top management and handed down to departmental managers, who are responsible for putting into effects.
- These budgets are well co-ordinated so that they all fit together as a logical and consistent plan for the whole business.
- Bottom-Up Budgets are prepared by departmental Managers.

Control

- Control Involves measuring actual performance comparing it with the budget and taking corrective action to bring actual performance into line with the budget.
- It actual revenue and expenditure are better than budget, the differences or variances are described as favourable because they increase profit
- On the other hand if the actual is worse than budget, the variance is described as adverse.

Benefits of Budgeting

- They are formal statements in quantitative and financial terms of management plans
- Their preparation ensures the co-ordination of all the activities of a business.
- Budgets identify limiting factors (shortages of demand or resources)
- When Managers are involved in preparing their budgets, they are committed to meeting them.
- Budgets are a form of responsibility accounting as they identify the managers who are responsible for implementing the various aspects of the overall plan for the business.
- Budgets avoid ‘ management in crisis’ which describessituationss in which managers have not foreseen problems before they arise and prepared for them in advance.

Sales Budget

- The first budget that should be prepared is the sales budget. However, before doing so, the first thing to establish when preparing a budget is what limiting factors exist that affect it.
- For example, it may well be that sales cannot be pushed above a certain amount, or it might be that the company could sell as much as it can produce, but productive capacity is limited.
- There is no doubt that identification of the limiting factors is crucial if an achievable budget is to be set.

Sales Budget

- The most difficult estimate to make when preparing a company's budget is that of sales volume
- and, then, sales revenue. This can be done using one of two methods:
- Make a statistical forecast on the basis of the economic conditions relating to the goods sold (e.g. how demand reacts to price changes) and what is known about the actions of competitors.
- This approach has an *external* rather than an *internal* focus. When adopted, it tends to be performed at a high level in the organisation, with relatively little consultation involving employees actually engaged in the selling process.
- The alternative approach uses information gathered lower down in the organisation. This is usually done by asking each salesperson, or group of salespeople, to estimate the sales in their own areas, and then adding together all the estimates.

Sales Budget

- If you have studied, or are studying, economics, you will find it very useful in helping you understand some of the issues mentioned above. In particular, a knowledge of elasticity of demand; whether the product is a complementary product (e.g. the price of egg cups is linked to the demand for eggs); or whether it is a substitute (e.g. a rise in the price of butter may induce consumers to use butter substitutes instead), is very relevant.
- Factors of crucial importance include whether the company has a monopoly dominance of its market; whether the company has many small customers, a few large customers, or just one large customer. When estimating sales revenue all relevant economic factors must be considered.
- The sales budget is, however, more than just a forecast of sales volume and sales revenue.
- **Budgets should show the actions that management is taking to influence future events.** If an increase in sales is desired, the sales budget may show extra sales, which may well also indicate that management is going to attempt to increase sales by means such as extra television advertising, making a better product, or giving retailers better profit margins.

Sales Budget

Example

Xsel Ltd's sales for the six months from January to June 2005 are budgeted in units as follows:
January 1000; February 800; March 1100; April 1300; May 1500; June 1400.
The current price per unit is $15 but the company plans to increase the price by 5% on 1 May.

Flannel and Flounder Ltd's sales budget in units for six months ending 30 June 2005 is as follows:
January 1000; February 1200; March 1300; April 1500; May 1700; June 1800.
The price per unit will be $20 for the three months to 31 March but will be increased to $22 from 1 April.

The production budget

- **The production budget must be compatible with the sales budget.** However, some other factors are also highly relevant, such as the level of inventory of finished goods which will be held by the business.
- If sales are at the same level over the year, production can be too and the inventory figure can remain constant. For example, if a company sells 50 units every month, it can produce 50 units per month.
- In almost every business, a minimum inventory level will have to be maintained, the quantity of inventory being dependent on factors such as the amount of storage space, the estimated amount needed to cater for breakdowns in production or for delays in receiving raw materials, etc. The minimum level of inventory to be held is a separate issue from the level of production.
- Consequently, whether the inventory level was to be a minimum of 70 units, 100 units or any other level, production in the above example would be 50 units per month.

The production budget

- On the other hand, sales may not be constant. For example, sales may *average* 50 units per month, but the monthly figures may be as follows:

January	20 units	February	30 units	March	60 units
April	80 units	May	70 units	June	40 units

- If production levels were kept at 50 units per month, there would be a shortage of 10 unitsin May – when 70 were demanded but only 60 were available for sale (10 left over from Aprilplus 50 produced in May).
- An extra 10 units would need to be held to cover this shortfall. Ifproduction each month is to be the same, 10 units would need to be held in inventory at the startof the year.

The production budget

Xsel Ltd (see the example in §34.4) manufactures its goods one month before they are sold. Monthly production is 105% of the following month's sales to provide goods for stock and for free samples to be given away to promote sales. Budgeted sales for July 2005 are for 1800 units.

Exercise 2

Flannel and Flounder Ltd (see exercise 1, §34.4) manufacture their goods one month before the goods are sold. Monthly production is 110% of the following month's sales. Budgeted sales for July 2005 are 2000 units.

Required

Prepare Flannel and Flounder Ltd's production budget. (Keep your answer; it will be needed later.)

How to Prepare an Purchase Budget

- A Purchase Budget is Prepared may bye prepared for either
   - raw materials purchased by a manufacturer
   - goods purchased by a trader
- A manufacturing company purchase budget is prepared from production budget while a trader purchases budget is prepared from sales Budget . The purchase budget is calculated as follow:

Units produced per production budget × quantity of material per unit produced × price per unit of material

Purchase Budget

Example

Xsel Ltd (see the example in §34.5) purchases its raw materials one month before production. Each unit of production requires 3 kg of material, which costs $2 per kg.

Required

Prepare the purchases budget for the materials to be used in the production of goods for the period from December

Exercise 3

Flannel and Flounder Ltd (see exercise 2, §34.5) use 2.5 litres of material in each unit of their product. The price of the material is currently $4.10 per litre, but the company has learned that the price will be increased to $4.25 in March 2005. The raw materials are purchased one month before production; 2100 units are budgeted to be produced in August 2005.

Required

Prepare Flannel and Flounder Ltd's purchases budget based on its production budget for the seven months from December 2004 to June 2005. (Make all calculations to the nearest $.)

Expenditure Budget

- An Expenditure Budget includes payments for purchased material from purchase budget plus all other expenditure in the period covered by the budget.
- Take care to ensure:
- Purchased materials are paid in the correct month,
- All other expenses are included in the in the budget in accordance with the given information.

Expenditure Budget

Example

Xsel Ltd pays for its raw materials two months after the month of purchase (see §34.6). Its other expenses are as follows.

1. Monthly wages of $4000 are paid in the month in which they are due.
2. The staff are paid a commission of 5% on all monthly sales exceeding $15 000. The commission is paid in the month following that in which it is earned (see §34.4).
3. General expenses are paid in the month in which they are incurred and are to be budgeted as follows: January $6600; February $7100; March $6900; April $7000; May $7300; June $7500.
4. Xsel Ltd pays interest of 8% on a loan of $20 000 in four annual instalments on 31 March, 30 June, 30 September and 31 December.
5. A final dividend of $2000 for the year ended 31 December 2004 is payable in March 2005.

Required

Prepare an expenditure budget for Xsel Ltd for the six months ending 30 June 2005. All amounts should be shown to the nearest $.

Exercise 4

Flannel and Flounder Ltd's overheads and other expenses for six months to 30 June 2005 are budgeted as follows.

1. Purchases are paid for in the following month.
2. Wages of $4000 per month are paid in the same month as they are earned.
3. Staff are paid a bonus equal to 4% of the amount by which monthly sales exceed $20 000. The bonus is paid in the month following that in which it is earned.
4. Electricity bills are expected to be received in January 2005, for $2400, and in April for $1800. The bills will be paid in the month following their receipt.
5. Other expenses are expected to amount to $6000 per month. From April 2005 they are expected to increase by 10%. They are paid in the month they are incurred.
6. Flannel and Flounder Ltd have a loan of $20 000 on which interest at 10% is payable in four quarterly instalments on 31 March, 30 June, 30 September and 31 December.
7. The company will purchase a machine in May 2005 for $15 000.
8. A final dividend of $4000 for the year ended 31 December 2004 will be paid in April 2005.

Required

Prepare Flannel and Flounder Ltd's expenditure budget for the six months ending 30 June 2005. Save your answer; it will be needed later.

Cash Budgets

- Cash Budgets are prepared from sales and expenditure budget. Special care must be taken with respect to the following

- Sales Revenue must be allocated to the correct months. Receipts from credit customers who are allowed discounts must be shown at the amount after deduction of discounts. The discounts should not be shown separately as an expense.

- Payments to suppliers must to shown in the correct months

Cash Budgets

Example

Xsel Ltd's sales in November 2004 were \$18 000, and in December 2004 were \$17 600.

Of total sales, 40% are on a cash basis; 50% are to credit customers who pay within one month and receive a cash discount of 2%. The remaining 10% of customers pay within two months.

\$10 000 was received from the sale of a fixed asset in March 2005. The balance at bank on 31 December 2004 was \$12 400.

Required

Prepare Xsel Ltd's cash budget for the six months ending 30 June 2005. All amounts should be shown to the nearest \$.

Exercise 5

Flannel and Flounder Ltd's sales in November 2004 were \$18 000 and in December 2004 were \$17 600.

Of total sales revenue, 50% is on a cash basis, 40% is received one month after sale. Cash discount of $2\frac{1}{2}$% is allowed to customers who pay within one month. 10% of sales revenue is received two months after sale.

The company sold plant and equipment for \$12 000 in February 2005. The balance at bank on 31 December 2004 was \$31 750.

Required

(a) Prepare Flannel and Flounder Ltd's cash budget for the six months ending June 2005. Make all calculations to the nearest \$.

(b) State the amount of Flannel and Flounder Ltd's trade debtors and creditors, and expense creditors at 30 June 2005.